

Non-Profit Entities under Japanese Law — ISH Setup Guide

Source: Non-Profit Entities under Japanese Law (Safecast, 2024-06-09)

Establishment

- **Timeframe:** 2–4 weeks
- **Founding members:** Minimum 2 (can be reduced to 1 after registration)
- **Notarization:** Articles of Incorporation (定款) must be certified by a notary

Two Types of ISH (一般社団法人)

1. Complete Non-Profit Type

- Dividends prohibited
- Residual assets distributed to public entities upon dissolution
- Requires 3+ directors with no family relationships between them
- No past breaches of the above requirements

2. Common Benefit Type

- Purpose: pursuing common benefit among members
- Collects membership fees
- Profit-earning activities must not be the primary business
- No past provision of special benefits to specific individuals or entities
- Requires 3+ directors with no family relationships between them

Director Requirements

Situation	Minimum directors
Basic ISH	1 director sufficient at establishment
Complete non-profit or common benefit ISH	3+ directors (no family ties)
Aiming for KSH (公益社団法人) approval	3+ directors + 1 auditor required from establishment

Key Documents

- Articles of Incorporation (定款) — notarized
- Basic establishment documents

After Establishment

- Initial director confirms lawfulness of establishment
- Registration of establishment (法務局)

Path to KSH (公益社団法人) — If Applicable

- ISH must be established first (unlike Approved NPO Hojin / 認定NPO法人)
- No minimum operating period required before applying
- Authorization process takes approximately 3–6 months
- Requires Public Support Test documents and approvals from members and directors